

The Disability Tax Credit

A plain-language guide, and how to pass the credit to a working family member

The one thing to know first

The Disability Tax Credit is a tax credit, not a cheque. It lowers the tax a person owes. It does not pay out cash on its own, so it only helps someone who has tax to pay. Most people living on AISH do not. But it can still put real money into the family, and this guide shows you how.

1. What it is

The Disability Tax Credit, or DTC, is a federal tax credit for a person with a severe, long-lasting disability. It lowers the income tax that the person, or a family member who supports them, has to pay. It is a flat yearly amount for having the disability. It is not the same as claiming medical bills, which is a separate credit, and a working family member can claim both.

2. The key point for us

Money like AISH is not taxed, so a person on AISH usually has little or no tax of their own. That sounds like the credit cannot help them, but it is the opposite. Because they have no tax to reduce, the whole disability amount is free to pass to a working family member who does pay tax. That family member claims it and pays less tax. This is the best case for the transfer, and it is common in our community.

3. Who can qualify

A doctor or nurse practitioner fills out a form called the T2201 and certifies that the person has a severe impairment that has lasted, or is expected to last, at least 12 months, and that markedly limits them in something like walking, dressing, feeding, hearing, seeing, speaking, mental functions, or life-sustaining therapy. The CRA reviews it and approves it. Nothing below can happen until that approval is in hand.

4. What it is worth (2025)

For 2025 the federal disability amount is \$10,138, and Alberta adds its own amount on top. For a working family member claiming both, an adult claim is worth roughly \$3,200 a year in reduced tax. For a child under 18, there is an extra federal amount.

What	2025 amount
Federal disability amount (adult 18+)	\$10,138
Alberta disability amount	about \$17,200 (confirm in the Alberta tax package)
Child under 18, extra federal amount	+ \$5,914
Worth to a working family member (adult, combined)	about \$3,200 a year

5. How the transfer works

The person with the disability claims it first, on line 31600, and uses only as much as they need to bring their own tax to zero. Whatever is left over can go to a supporting family member.

- A spouse or common-law partner claims the leftover on line 32600.
- Any other supporting relative claims it on line 31800.

6. Who can receive the transfer

A supporting relative can claim the transferred amount if all of these are true:

- The person was approved for the DTC that year and lived in Canada at some point that year.
- The person relied on them for a basic need, food, shelter, or clothing, on a regular basis.
- They could claim the eligible dependant amount or the Canada caregiver amount for that person.

The relative can be a parent, grandparent, child, grandchild, brother, sister, aunt, uncle, niece, or nephew, of the supporter or their spouse. A spouse is not a dependant here, they use line 32600 instead.

7. The catches, in plain terms

- The person claims first. Only the leftover transfers.
- It is non-refundable for the family member too. They benefit only up to the tax they owe. Good income, full value. Little tax owed, less value.
- Only one person can claim it for a given person. Two supporters can split by agreement, but never more than the yearly maximum.
- If the person's spouse is already claiming the disability amount for them, another relative cannot also claim the transfer.
- The support has to be real. "Relied on you for a basic need" is the test, and the CRA can ask you to describe it in writing. Living together is not required, but steady support is.
- Name the supporter on the T2201 if you can, or send the CRA a signed note describing the support.

8. Claiming past years, up to 10 years back

If the person qualified in earlier years but never claimed, you can go back up to 10 years. If the box allowing the CRA to adjust past returns was ticked on the T2201, they may do it for you. Otherwise you request a change to each past return. Each year uses that year's amount, and the family member needs to have owed tax that year to benefit. This can add up to a large one-time recovery.

Year	Disability amount	Child supplement (under 18)
2025	\$10,138	\$5,914
2024	\$9,872	\$5,758
2023	\$9,428	\$5,500
2022	\$8,870	\$5,174
2021	\$8,662	\$5,053
2020	\$8,576	\$5,003
2019	\$8,416	\$4,909
2018	\$8,235	\$4,804
2017	\$8,113	\$4,733
2016	\$8,001	\$4,667

9. A worked example (for illustration only)

An adult lives on AISH, which is not taxed, and is approved for the DTC. He has almost no tax of his own, so the whole 2025 amount is free to transfer. His mother works and supports him with food and shelter, and is named as the supporting family member. She claims it on line 31800 and cuts her own 2025 tax by roughly \$3,200. If he also qualified in past years, she can go back and recover for those years too.

10. What approval also opens up

Getting approved is worth it beyond the credit itself, because it is the doorway to other programs. The Registered Disability Savings Plan, or RDSP, with government grants and bonds. The Canada Caregiver Credit for the family member. And for a child, the Child Disability Benefit.

11. How to apply, step by step

1. Fill out the T2201. The person does Part A and names the family member. A doctor or nurse practitioner does Part B.
2. Send it to the CRA, online or by mail, and wait for the decision.
3. Once approved, claim it on the tax return. Line 31600 for the person, 31800 for a supporting relative, 32600 for a spouse.
4. For past years, request changes through the CRA, up to 10 years back.
5. Keep proof of your support in case the CRA asks.

12. Where to get help

- CRA disability line: 1-800-959-8281.
- Free tax clinics can file this and do the past-year changes at no cost for modest incomes.
- The Alberta page “Apply for federal disability supports” links the process for AISH recipients.

This uses official CRA and Government of Alberta information, current as of July 2026. It is general information, not tax advice. Confirm anything that affects a real filing with the CRA or a free tax clinic first.

The Alberta Disability System Breakdown — Advocate

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